Southampton Football Club Limited

Annual Report and Financial Statements

Year Ended

30 June 2024

Company Number 00053301

MONDAY

RDYZBKM1

RM 24/03/2025 #100

COMPANIES HOUSE

Southampton Football Club Limited

Company Information

Directors	R Ankersen R Bogli HJ Kraft P J S Parsons D Solak A T Young
Company secretary	T Greenwell
Registered number	00053301
Registered office	St Mary's Stadium Britannia Road Southampton Hampshire SO14 5FP
Independent auditor	BDO LLP Arcadia House Maritime Walk Ocean Village Southampton SO14 3TL

Southampton Football Club Limited

Contents

	Page
Strategic Report	3 - 6
Section 172 Statement	7 - 8
Directors' Report	9 - 10
Directors' Responsibilities Statement	11
Independent Auditors' Report	12 – 15
Statement of Comprehensive Income	16
Statement of Financial Position	17
Statement of Changes in Equity	18
Notes to the Financial Statements	19 - 39

The principal activity of the company is that of a football club (Southampton Football Club Limited (the "Club"), whose men's team participates in the Premier League.

Football Overview

From a sporting perspective, the 2023/24 season was successful with the first team bouncing back from its relegation to the EFL Championship in the 2022/23 season with a 4th place finish in the EFL Championship, gaining promotion to the Premier League via the play-offs and a win against Leeds United, following a memorable home playoff semi-final victory against West Brom at St Mary's Stadium.

In the Cup competitions, the first team was knocked out of the EFL Cup by Gillingham in the first round (2022/23: semi-finals). The Club also reached the fifth round of the FA Cup (2022/23: fifth round) before losing to Liverpool.

Russell Martin was hired as the first team manager ahead of the 2023/24 EFL Championship season and contributed, alongside his coaching staff, to the promotion of the Club to the Premier League at the first attempt.

At the time of writing the first team's 2024/25 Premier League performances have seen the Club in the bottom three positions of the league and battling to avoid relegation. The Club has taken the difficult decision to part ways with Russell Martin due to the Club's league position and is actively recruiting his replacement.

The U21 team, participating in the U21 Premier League 2 Division 2 in the 2023/24 season, narrowly avoided needing to partake in the Elimination Playoffs by finishing in 17th place. At the time of writing, the U21 team has had a testing start to the 2024/25 Premier League 2 season and is currently 18th out of 26 teams in the Premier League 2 Division, whilst holding a strong position in the Premier League International Cup (2nd place) and the Premier League Cup (1st place).

The U18 team, participating in the U18 Premier League South in the 2023/24 season finished 10th in the league (2022/23: 8th). At the time of writing, the U18 team has experienced a positive start to the 2024/25 U18 Premier League season and is currently 4th in the league.

Financial Overview

The Club reports a profit before interest and tax of £34.2m (2023: loss of £68.9m), with net liabilities decreasing to £68.4m (2023: net liabilities of £82.1m). Cumulatively, over the two financial years, this totals a loss before interest and tax of £34.7m. The improvement in the net liability position from 2024 is due to the profits generated from player trading in the 2024 financial year.

A summary of results is given below:

	2024	2023
	£000	£000
Turnover	**84,001**	145,467
Operating costs	**123,844**	(170,023)
Other operating income before player trading	**1,710**	28
Operating loss before player trading	**(38,133)**	(24,528)
Player trading	**72,377**	(44,279)
Loss on disposal of assets	**(47)**	(53)
Profit/(loss) before interest and tax	**34,197**	(68,860)

Financial Overview (continued)

The first team finished in 20th place in the Premier League in the 2022/23 season, which led to the relegation to the EFL Championship for the 2023/24 season. Consequently, as a result of that relegation, the Club's turnover decreased by £61.5m (42.3%) to £84.0m in the year.

This decrease in turnover is largely explained by the reduction in broadcasting revenue, which is significantly lower in the EFL Championship than the Premier League. The broadcasting revenue recognised in the year is primarily made up of parachute payments received from the Premier League, which enables a staggered approach for newly-relegated clubs to mitigate the impact of the significant discrepancy between the Premier League and EFL broadcasting revenue. Consequently, broadcasting revenue decreased from £108.0m to £55.9m, a decrease of 48.2%.

Match day revenue decreased by 15.8% from £19.1m to £16.1m, primarily due to less successful first team cup runs during the 2023/24 season. A positive season ticket campaign, which included an average reduction of prices by 10%, contributed to strong sales of general admission season tickets, whilst match day tickets also sold very well, contributing to multiple sold-out fixtures during the season in spite of relegation. When combined with a greater number of home league matches being played in the Championship, and the home playoff semi-final, the Club was able to partially offset the reduction in revenue generated from cup matches, whilst ensuring that the EFL Championship ticket pricing was affordable for our fans.

Commercial revenue fell by £5.5m from £15.4m to £9.9m (a 36.1% reduction), due to a drop in the Club's partnerships revenue, most notably the amount received from the Club's main sponsor, which was offset by the Club's decision to in-house retail merchandise sales and non-match day conference and events. Despite our drive to increase commercial revenues within the Group, it is difficult to offset the substantial decrease in broadcasting revenue between the Premier League and the EFL Championship.

Other income decreased marginally from £3.0m to £2.2m which largely relates to grants received to support our EPPP Category 1 status academy and license and merit payments for our girls and women's football programme.

In 2023/24, the Club generated a profit before tax, primarily due to successful player trading, which generated total profit on the disposals of players of £123.0m (2022/23: £7.4m). Profit was generated on the sales of Diallo, Olaigbe, Salisu, Livramento, Lavia, Ward-Prowse, Tella, Djenepo, Doyle, Finnigan and Perraud, together with contingent transfer receipts in relation to previously transferred players crystallising during the season. This compares favourably to the previous financial year, when profit on the disposal of players was generated from the sales of Romeu, Valery, Jay-Morgan, Nlundulu and Orsic, together with contingent transfer receipts similarly crystallised.

The amortisation of player registrations of £51.1m has decreased marginally in comparison to last year's charge of £52.0m as a result of player sales during the 2023/24 season.

The Club's cash balance at the Statement of Financial Position date was £13.1m (2023: £13.2m) and amounts owed to group undertakings decreased from £154.8m to £122.5m. No amounts were paid to the Company's directors or ownership by way of dividends.

Key Performance Indicators

Due to the nature of the Club's activities, the directors consider the Club's final league position at each season end as its principal key performance indicator.

As well as this, the directors consider further key performance indicators to be:

- the length of the first team playing contracts, with the average length remaining at the Statement of Financial Position date being 27 months (2023: 27 months);
- the all-staff wages to turnover ratio, which increased year-on-year from 84.2% in 2023 to 93.5% in 2024, with the increase being due to the reduction in turnover in 2023/24. Year-on-year player remuneration for the men's first team decreased from £87.0m to £58.8m (68% of turnover in 2024, 61% in 2023);
- the number of players with international recognition at senior or U-21 level. The first team squad had 23 players with such recognition (2023: 29);
- international honours at youth level. 28 players represented their country at international youth level during the 2023/24 season (29 during the 2022/23 season);
- the number of players signed on scholarship agreements. The Club had an average of 23 scholars across the 2023/24 season (27 during the 2022/23 season);
- academy players representing the first team. 9 academy players represented their respective first teams in a competitive fixture during the 2023/24 season (9 during the 2022/23 season).

Infrastructure and People

The Club continues its investment at St Mary's Stadium, incurring capital expenditure on upgrading the Wi-Fi all around the stadium to allow fans to make use of the various Saints apps available on smartphones whilst visiting the stadium, including the new ticketing app. Further capital investment in CCTV, as well as the commencement of the construction of the Northam Fan Zone, perimeter fencing around the footprint of the stadium and the installation of one of the largest safe standing offerings in the country in both the Home Northam stand and in the new Away End, has been incurred to ensure a safe and enjoyable experience for all fans visiting St Mary's Stadium. Moreover, upgrades to the press desk have been implemented, ensuring the Club is compliant with the Premier League's broadcasting requirements. The Company has also commenced the strip-out of one of the stands ahead of further capital investment in an entertainment zone. This expenditure commenced towards the end of the 2024 financial year and was completed in the year-ended 30th June 2025.

The average number of employees during the year was 342 and decreased compared to the prior year (2023: 403), with the decrease largely as a result of the relegation to the EFL Championship and planned organisational restructures.

There were several organisational changes in the 2023/24 season, most notably at the Board of Directors and Executive team level, including the appointment of our new CEO and Director of Football Operations.

The Club continues to provide active promotion to Saints Foundation, the Club's affiliated charity, and its needs-led work in the community. During the year the Club has continued to provide both financial donations and in-kind support through the provision of staff expertise and office space. In addition, support has been given to the charity through opportunities for fundraising and in supporting Saints Foundation's purpose through its 15 projects, including mentoring for young offenders, mental wellbeing support for young people both in and out of school, and activity sessions for older adults to increase health and reduce isolation. During the 2023/24 year, Saints Foundation engaged with 5,799 individual participants aged 5-98, which equates to 2% of Southampton's population, with 4,930 of those achieving a positive outcome for themselves. Overall Saints Foundation delivered over £7million of Social Value in the community.

Principal risks & uncertainties

Team performance risk
As is common with many professional football clubs, a principal risk is the performance of the first team and the league in which it operates. The Club manages the impact of this through close control and detailed forecasting of its direct costs and cash outgoings, relative to forecast revenue and cash incomings.

Liquidity risk
The Club reported a net cash position of £13.1m at the Statement of Financial Position date (2023: net cash of £13.3m).

Credit risk
This relates primarily to trade debtors from commercial activities and player trading and the Club monitors this risk closely with the aim of minimising it at all times.

Political risk
The main political risks that are monitored by the Club are around the impact on the price of goods, services and utilities, in part due to the Russia/Ukraine conflict, and the consequently high levels of inflation within the UK, which it manages through close cost control and a detailed tendering and procurement process.

Furthermore, the movement of the interest rates within the UK over the course of the year is another risk closely monitored, which the Club manages through detailed forecasting of the net and gross debt requirements, close monitoring of working capital requirements within the Club and maximising its utilisation of interest-bearing accounts.

The directors have concluded, after reviewing the work performed and detailed above, that they can adopt the going concern basis in preparing these financial statements.

This report was approved by the board and signed on its behalf:



.....
P J S Parsons
Director
Date: 20th December 2024

Southampton Football Club Limited

Section 172 Statement
for the Year Ended 30 June 2024

Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders and other matters in their decision making. The directors continue to have regard to the interests of the Club's employees and other stakeholders, the impact of its activities on the community, the environment and the Club's reputation for good business conduct, when making decisions. In this context, acting in good faith and fairly, the directors consider what is most likely to promote the success of the Club for its members in the long term. We explain in these financial statements, and below, how the Board engages with stakeholders:

- Relations with key stakeholders such as employees, shareholders, customers, the local community and suppliers are considered in more detail within the "Employee Involvement" section of the Director's Report and the "Infrastructure & People" section of the Strategic Report.

- The directors are fully aware of their responsibilities to promote the success of the Club in accordance with section 172 of the Companies Act 2006 and this is promoted at every Board meeting. As required, the Chief Financial Officer, the Finance Director and the Company Secretary will provide further support to the Board to help ensure that sufficient consideration is given to issues relating to the matters set out in s172(1)(a)-(f).

- The Board regularly reviews the Club's principal stakeholders and how it engages with them. This is achieved through information provided by the executive and senior leadership teams, in particular within fortnightly executive team and leadership team meetings, and also by direct engagement with stakeholders themselves, notably with multiple forums across the year.

- The Board has enhanced its methods of engagement with the workforce and Board updates are provided to all employees at regular intervals. There are fortnightly all-staff in-person meetings, which include question and answer sessions during which the Board provides business, operational and strategic updates to all employees, as well as a bi-annual all-staff interactive strategy sessions.

- We aim to work responsibly with our stakeholders, including suppliers. The Board has recently reviewed its anti-corruption and anti-bribery, equal opportunities and whistleblowing policies and regular training is undertaken on such matters.

The key Board decisions made in the year are set out below:

Significant events/decisions	Key s172 matter(s) affected	Actions and impact
Promotion of the first team from the EFL Championship to the Premier League	Employees, customers, fans, suppliers	• Extensive financial modelling and scenario analysis was undertaken from an early stage and discussed with the Board of Directors and ownership group, and any working capital funding requirements were highlighted. • An internal email was circulated to employees and videos included on the Club's intranet, Team Talk Live, outlining the Club's "Bounce Back Stronger" strategy. • Regular all-staff meetings were held to continue to build momentum and keep staff engaged with the strategy and the first team performance. • A promotion party was held at St Mary's Stadium after the team's victory against Leeds United in the EFL Championship Play-Off Final bringing together fans, staff, coaches and players to celebrate the success of the team's bounce-back promotion to the Premier League.

Significant investment in the infrastructure in and around St Mary's Stadium	Employees, customers, fans & suppliers	• During the season, possible transformative projects were planned and executed, widely improving the experience of all individuals who visit or work at St Mary's Stadium. • Cost and value projections were gathered and presented to the Board of Directors. • A Fan Engagement Plan was set up by the Board of Directors, evolving the current Saints Voice (a fan-appointed panel who regularly meet with the Club staff to discuss the supporter experience) and creating more opportunity for direct fan engagement with the Club. • Open engagement with Southampton City Council regarding ongoing works at the stadium. • Capital expenditure and improvement works were finalised including the Northam stand remodelling and introduction of one of the largest safe standing areas in the country; the moving of the away fans to the Kingsland South corner and the expansion of the perimeter fencing around the stadium (all completed post year-end). • Prior to the commencement of the 2024/25 season, a stadium changes video was released across all social media channels highlighting all of the investment in infrastructure around St Mary's Stadium.
Changes at the Executive Board level	Employees, fans	• The appointment of Phil Parsons, the Group's CEO, at the start of the 2023/24 season and financial year. Phil brought a wealth of experience in senior business leadership roles and is committed to the future of the Group as a financial and people driven organisation. • The release of Jason Wilcox from his position as Director of Football to Manchester United was considered at length at Board level ensuring the impact on the team was minimised and the Club's "Bounce Back Stronger" strategy was maintained throughout this period of transition. • The internal promotion of Mark Bitcon to Director of Football Operations supports the Club's dedication and loyalty to the promotion and retention of staff.

Southampton Football Club Limited

Directors' Report
for the Year Ended 30 June 2024

The directors present their report and the financial statements for the year ended 30 June 2024.

Results and dividends

The profit for the year, after taxation, amounted to £13.7m (2023: loss of £80.4m).

No dividend (2023: £Nil) is proposed.

Employment of disabled persons

The Club ensures that all full and part time employees, and job applicants (actual or potential), are treated fairly in accordance with company policies and values. Selection for employment, promotion, training or any other benefit is assessed objectively against the requirements for each job role, taking account of any reasonable adjustments that may be required for those with disabilities.

Employee involvement

The Club holds regular senior management, operational management and department meetings to ensure a flow of information across all levels. Alongside this are a number of company-wide communication channels, most notably monthly all-staff meetings and our intranet, Team Talk Live. Company Handbooks, Performance and Development Reviews and strategic email communication supplement these.

The Club continues to put in place measures directly aimed at promoting the health and wellbeing of employees, including the continuation and promotion of an Employee Assistance programme.

Finally, the Club continues to encourage all staff members to present their suggestions and views at all levels on the Club's performance, encouraging creativity for improvement through feedback forums.

Directors

The directors who served during the year were:

R Ankersen
R Bogli
H J Kraft
P J S Parsons
D Solak
T Steele (resigned 4 October 2023)
A T Young

Future developments

No significant change in the principal activities of the Club is expected in the foreseeable future.

Charitable donations

During the year the Company made charitable donations totalling £257,000 (2023: £51,000).

Environmental matters and energy and carbon reporting

The Company has taken the available exemption to not disclose a separate energy and carbon report in these financial statements as it is included in the financial statements of its indirect parent company, Sport Republic Holding Limited.

Disclosure of information to auditors

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the directors are aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the directors have taken all the steps that ought to have been taken as directors in order to be aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

Post Statement of Financial Position events

A full description of the events after the Statement of Financial Position date is stated in note 30.

Auditors

The auditors, BDO LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf:

.....

P J S Parsons
Director
Date: 20th December 2024

Southampton Football Club Limited

Directors' Responsibilities Statement for the Year Ended 30 June 2024

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Accounting Standards and applicable law. Under Company law the directors must not approve the financial statements unless they are satisfied that they a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent Auditors' Report to the members of Southampton Football Club Limited

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 30 June 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Southampton Football Club Limited ("the Company") for the year ended 30 June 2024 which comprise Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Annual Report and Financial Statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' Report, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations
Based on:

- Our understanding of the Company and the industry in which it operates;
- Discussion with management and those charged with governance; and
- Obtaining and understanding of the Company's policies and procedures regarding compliance with laws and regulations.

we considered the significant laws and regulations to be the applicable accounting framework and UK tax legislation.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be health and safety legislation, FCA legislation and employment law.

Our procedures in respect of the above included:

- Review of minutes of meeting of those charged with governance for any instances of non-compliance with laws and regulations;
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations; and
- Review of financial statement disclosures and agreeing to supporting documentation.

Fraud
We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- Obtaining an understanding of the Company's policies and procedures relating to:
    - Detecting and responding to the risks of fraud; and
    - Internal controls established to mitigate risks related to fraud.
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements.

Our procedures in respect of the above included:

- Testing a sample of journal entries throughout the year, which met a defined risk criteria, by agreeing to supporting documentation, and
- We reviewed and assessed the appropriateness of management estimates and exercised professional scepticism in considering the impact of those estimates in the financial statements.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Steve Le Bas
3A8E17E6EA7B437...

Stephen Le Bas (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
Southampton, UK

Date 20 December 2024

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

Southampton Football Club Limited

Statement of Comprehensive Income for the Year Ended 30 June 2024

	Note	Operations excluding player trading 2024 £000	Player trading* 2024 £000	Total 2024 £000	Total 2023 £000
Turnover	4	**84,001**	**-**	**84,001**	145,467
Cost of sales		**(107,729)**	**(51,142)**	**(158,871)**	(207,081)
Gross loss		**(23,728)**	**(51,142)**	**(74,870)**	(61,614)
Administrative expenses		**(16,115)**	**-**	**(16,115)**	(14,929)
Other operating income	5	**1,710**	**483**	**2,193**	293
Operating loss	6	**(38,133)**	**(50,659)**	**(88,792)**	(76,250)
Loss on disposal of assets		**(47)**	**-**	**(47)**	(53)
Profit on disposal of players		**-**	**123,036**	**123,036**	7,443
Profit / (loss) on ordinary activities before interest		**(38,180)**	**72,377**	**34,197**	(68,860)
Interest receivable and similar income	9	**3,063**	**-**	**3,063**	1,554
Interest payable and similar charges	10	**(13,169)**	**-**	**(13,169)**	(7,141)
Profit/(loss) on ordinary activities before taxation		**(48,286)**	**72,377**	**24,091**	(74,447)
Tax on profit/(loss)	11	**(10,398)**	**-**	**(10,398)**	(5,918)
Profit/(loss) and total comprehensive profit/(loss) for the year		**(58,684)**	**72,377**	**13,693**	(80,365)

**Player trading represents the amortisation, loan fees payable, exceptional impairment, foreign exchange on player purchases and the profit or loss on disposal of player registrations*

The notes on page 19 to 39 form part of these financial statements.

Southampton Football Club Limited

Registered number: 00053301

Statement of Financial Position
as at 30 June 2024

	Note	2024 £000	2024 £000	2023 £000	2023 £000
Fixed assets					
Intangible assets	12		**95,992**		128,617
Tangible assets	13		**18,228**		17,269
Investments	14		**-**		-
			114,220		145,886
Current assets					
Stocks	15	**144**		322	
Debtors: amounts falling due within one year	16	**33,667**		22,517	
Debtors: amounts falling due after more than one year	16	**4,641**		12,033	
Cash at bank and in hand		**13,128**		13,261	
		51,580		48,133	
Creditors: amounts falling due within one year	17	**(203,394)**		(229,437)	
Net current liabilities			**(151,814)**		(181,304)
Total assets less current liabilities			**(37,594)**		(35,418)
Creditors: amounts falling due after more than one year	18		**(26,981)**		(43,329)
Provisions for liabilities					
Other provisions	20		**(3,798)**		(3,319)
Net liabilities			**(68,373)**		(82,066)
Capital and reserves					
Share capital	22		**501**		501
Capital contribution reserve	23		**29,767**		29,767
Profit and loss account	23		**(98,641)**		(112,334)
Liabilities attributable to the owner of the parent Company			**(68,373)**		(82,066)

The financial statements were approved and authorised for issue by the board and were signed on its behalf:

.....

P J S Parsons
Director
Date: 20th December 2024

The notes on pages 19 to 39 form part of these financial statements.

Southampton Football Club Limited

Statement of Changes in Equity for the Year Ended 30 June 2024

	Share capital £000	Capital contribution reserve £000	Profit and loss account £000	Total equity £000
At 1 July 2022	501	29,767	(31,969)	(1,701)
Comprehensive loss for the year				
Loss for the year	-	-	(80,365)	(80,365)
At 30 June 2023	**501**	**29,767**	**(112,334)**	**(82,066)**
Comprehensive profit for the year				
Profit for the year	-	-	13,693	13,693
At 30 June 2024	**501**	**29,767**	**(98,641)**	**(68,373)**

The notes on pages 19 to 39 form part of these financial statements.

1. General information

Southampton Football Club Limited is a private company, limited by shares, incorporated in England & Wales under the Companies Act 2006. The address of the registered office is given on the Company Information page and the nature of the Company's operations and its principal activity is disclosed in the Strategic report.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 4 Statement of Financial Position paragraph 4.12(a)(iv);
- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.41 to 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.29A; and
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of St Mary's Football Group Limited, as at 30 June 2024, and these financial statements may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

2.3 Going concern

These financial statements are prepared on a going concern basis. The directors have a reasonable expectation that the Club will continue in operational existence for the foreseeable future. The directors are aware of certain uncertainties which could cause doubt on the Club's ability to continue as a going concern if they were to arise and remain unremedied.

For the year ended 30 June 2024, the company made a profit after tax of £13,693,000 and has net current liabilities of £151,814,000 and net liabilities of £68,373,000.

In assessing the appropriateness of the going concern assumption, the directors have produced detailed cash flow forecasts which extend to no less than June 2026. The Club's forecasts take into consideration various scenarios, including the risk of the Club being relegated from the Premier League.

In the event of relegation, the Club, as with such clubs, will incur a significant reduction in turnover as Premier League broadcasting revenue is replaced with parachute payments. The Club will be required to take steps to reduce costs and borrowings to a level more sustainable for a Championship club. In this scenario, the Club would expect a significant reduction in wages and salaries, which will be largely achieved by contractual means existing in player and employee contracts and player sales.

The Club has forecast a net inflow of cash from player trading, as is common for many clubs relegated from the Premier League and was the case when the Club was relegated at the end of the 2022/23 season. In such a case, to support the Club's obligations, the directors will consider and utilise financing options available, including but not limited to, player receivable financing.
In the event that the Club's financial performance varies or is less than that modelled, the directors are satisfied that sufficient funds can be generated or otherwise obtained by the Club, if this was absolutely necessary.

During the 2024 summer transfer window, the Club realised significant value from the sale of players which has helped to reduce the forecasted cashflow deficit. Some of the cash flows from these sales, purchases and loan deals are immediate and some are deferred, as is customary in football player transactions.

The current football transfer market remains strong and the Club believes that future potential player trading consistent with forecasts is reasonably achievable. The underlying models contain key judgments about future player trading which are subject to a significant degree of uncertainty, along with other variables.

The Club benefits from the support of the majority shareholder of its parent undertaking and the directors have received a letter of support from Mr Solak expressing his intention to continue to provide such support. Management forecasts do not indicate the need for future funding from Mr Solak during the going concern review period.

In light of this financial support, and the directors own considerations with regard to the availability of such support, the directors have not identified a material uncertainty that may cast significant doubt over the Club's ability to continue as a going concern for the foreseeable future.

Under all of these reasonable foreseeable scenarios, based on the cashflow forecast, the expectations of player trading and the availability of funding, as required, the directors are satisfied that the Club will have sufficient resources available to be able to meet its liabilities as they fall due and have concluded that it is appropriate for the financial statements to be prepared on a going concern basis.

2. Accounting policies (continued)

2.4 Turnover

Turnover represents the total amount receivable from the principal activities of the Company, excluding transfer fees receivable, and is stated net of value added tax. The fixed element of broadcasting turnover is recognised as games are performed over the length of the football season, whilst facility fees for live coverage or highlights are recognised as and when the point of broadcast occurs. Merit payments are accounted for once known at the end of the relevant competition to which they relate and accrued if not received by the end of the financial year. Match day turnover and those elements of commercial activities relating to matches are recognised when related matches are played; turnover from advance ticket sales is deferred accordingly. Other commercial turnover is recognised on a receivable basis once the contracted events have taken place.

2.5 Intangible assets

The element of each player's transfer fee which relates to his registration is capitalised as an intangible asset and amortised over the period of his contract including any agreed extensions, subject to any provision for impairment. Where there are deferred payment terms and no interest is charged, the future cash flows are discounted to their present value at the date of the transition using the prevailing market rate for such instruments. Contingent fees payable, which are dependent upon factors such as the number of first team appearances and international debuts being made, are capitalised in the year when it is considered probable that the conditions of the transfer agreement will be satisfied.

The Company does not consider it to be possible to determine value in use of an individual player in isolation as that player cannot generate cash flows on his own. As such, the Company considers the smallest cash-generating unit to contain all of the first team players, the stadium and the training facilities.

However, management may consider that an individual player is highly unlikely to play for the first team again, either due to serious injury or other circumstances outside the Club's control, and therefore will not contribute to the future cash flows earned by the cash generating unit. In these instances, the Company compares the carrying value of the asset to its recoverable amount. To the extent that the carrying value exceeds the recoverable amount, the asset is impaired and the impairment loss is recognised in the Statement of Comprehensive Income.

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The Company adds to the carrying amount of an item of fixed assets the cost of replacing part of such an item when that cost is incurred, if the replacement part is expected to provide incremental future benefits to the Company. The carrying amount of the replaced part is derecognised. Repairs and maintenance are charged to the Statement of Comprehensive Income during the period in which they are incurred.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

The estimated useful lives are as follows:

Motor vehicles	- between 4 and 5 years
Fixtures, fittings and equipment	- between 4 and 10 years
Stadium	- between 5 and 50 years

2. Accounting policies (continued)

2.6 Tangible fixed assets (continued)

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within "administrative expenses" in the Statement of Comprehensive Income.

2.7 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in the Statement of Comprehensive Income.

2.8 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.9 Cash

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours.

2.10 Financial instruments

The Company only enters into basic financial instruments transactions that result in the recognition of financial assets and liabilities, for example trade and other debtors and creditors, loans from banks and other third parties, loans to related parties and investments in non-puttable ordinary shares.

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of the cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing transaction, for example the payment of a trade debt deferred beyond normal business terms or financed at a rate of interest that is not a market rate or in case of an out-right short-term loan not at market rate, the financial asset or liability is measured, initially, at the present value of the future cash flow discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost.

2. Accounting policies (continued)

2.10 Financial instruments (continued)

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Statement of Comprehensive Income.

For financial assets measured at amortised cost, the impairment loss is measured as the difference between an asset's carrying amount and the present value of estimated cash flows discounted at the asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

For financial assets measured at cost less impairment, the impairment loss is measured as the difference between an asset's carrying amount and best estimate of the recoverable amount, which is an approximation of the amount that the Club would receive for the asset if it were to be sold at the reporting date.

Financial assets and liabilities are offset and the net amount reported in the Statement of Financial Position when there is an enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

2.11 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.12 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is pound sterling.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At the Statement of Financial Position date foreign currency monetary items are translated using the closing rate.

2.13 Finance costs

Finance costs are charged to the Statement of Comprehensive Income over the term of the debt using the effective interest method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

2. Accounting policies (continued)

2.14 Leased assets

Where assets are financed by leasing agreements that give rights approximating to ownership (finance leases), the assets are treated as if they had been purchased outright. The amount capitalised is the present value of the minimum lease payments payable over the term of the lease. The corresponding leasing commitments are shown as amounts payable to the lessor. Depreciation on the relevant assets is charged to profit or loss over the shorter of estimated useful economic life and the term of the lease.

Lease payments are analysed between capital and interest components so that the interest element of the payment is charged to profit or loss over the term of the lease and is calculated so that it represents a constant proportion of the balance of capital repayments outstanding. The capital element reduces the amounts payable to the lessor.

All other leases are treated as operating leases. Their annual rentals are charged to the Statement of Comprehensive Income on a straight-line basis over the term of the lease.

2.15 Pensions

The Company is one of a number of employers in a shared defined benefit scheme for former staff. The Company recognises a liability for the present value of future contributions to the scheme's deficit.

Contributions payable by the Company to employees' (including executive directors) personal pension schemes are charged to the Statement of Comprehensive Income in the year to which they relate. The schemes are defined contribution schemes, the assets of which are held separately from the Company.

2.16 Government grants

Grants are accounted for under the accruals model, as permitted by FRS 102.

Grants of a turnover nature are recognised in the Statement of Comprehensive Income in the same period as the related expenditure.

2.17 Interest income

Interest income is recognised in the Statement of Comprehensive Income using the effective interest method.

2.18 Borrowing costs

All borrowing costs are recognised in the Statement of Comprehensive Income in the year in which they are incurred.

2. Accounting policies (continued)

2.19 Provisions for liabilities

Provisions are made where an event has taken place that gives the Company a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to the Statement of Comprehensive Income in the year that the Company becomes aware of the obligation, and are measured at the best estimate at the Statement of Financial Position date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

2.20 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in the Statement of Comprehensive Income, except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the Statement of Financial Position date, except that:

- the recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits;
- any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In preparing these financial statements, the directors have made the following key judgements and estimates:

- determined which players are included within the first team squad for cash generating unit purposes. The assessment is based on whether players are considered to be within the first team squad and available for selection as at the Statement of Financial Position date. Factors taken into consideration are whether the player has sustained any long term, career threatening injury or is highly unlikely to play for the first team again and is held only for sale;
- where players are considered to be outside of the first team squad for cash generating unit purposes, determined the net realisable value of the player registration. This is based on an agreed selling price in the event that the player has been transferred subsequent to the Statement of Financial Position date or, if there has been no such transfer, management's best estimate of the disposal proceeds (less associated costs) based on recent player transactions;
- if a player is considered to be outside of the first team squad and highly unlikely to play for the first team again, determined whether the contract is onerous and any associated provision required as a result of obligations at the Statement of Financial Position date. Such onerous contract provisions are estimated based on the unavoidable cost (least net cost) of exiting the contract (see note 20);
- determined whether contingent liabilities exist in relation to contingent transfer fees payable (see note 20);
- assessed whether it is probable that the conditions in respect of the contingent transfer fees payable will be met based on experience and the circumstances of the player concerned; and
- assessed the recognition of a deferred tax asset based on future profit (see note 21).

4. Turnover

An analysis of turnover by class of business is as follows:

	2024	2023
	£000	£000
Broadcasting	**55,874**	107,959
Match day	**16,085**	19,109
Commercial	**9,850**	15,425
Other	**2,192**	2,974
	84,001	145,467

Materially all turnover arose within the United Kingdom.

5. Other operating income

Items included within other operating income are as follows:

	2024 £000	2023 £000
Compensation payments from third parties	1,710	-
Other	-	28
	1,710	28

6. Operating loss

The operating loss is stated after charging:

	2024 £000	2023 £000
Stock recognised as an expense	1,771	451
Depreciation of tangible fixed assets	3,006	2,892
Impairment of tangible fixed assets	-	798
Amortisation of intangible assets	51,142	51,987
Other operating lease rentals	182	244
Defined contribution pension cost	806	591

The operating loss is stated after crediting:

Amortisation of grants	93	93
Foreign exchange gains	483	265

The auditor was remunerated by the Club on behalf of the Group of which the Club is a member. The total remuneration for the Group amounted to £78,000 (2023: £67,500).

7. Employees

Staff costs, including directors' remuneration, were as follows:

	2024 £000	2023 £000
Wages and salaries	**69,019**	105,478
Social security costs	**9,189**	15,036
Cost of defined contribution pension scheme	**806**	591
	79,014	121,105

The average monthly number of employees, including the directors, during the year was as follows:

	2024 No.	2023 No.
Administrative	**119**	147
Football	**223**	256
	342	403

In addition the Company employs approximately 240 temporary staff on match days (2023: 181).

8. Directors' remuneration

	2024 £000	2023 £000
Directors' emoluments	**1,967**	3,256
Company contributions to defined contribution pension schemes	**27**	43
Compensation for loss of employment	**-**	500
Amounts paid to third parties in respect of Directors services	**30**	-
Total	**2,024**	3,799

The average number of directors serving during the year was 6 (2023: 6).

There were 2 directors in the Company's defined contribution pension scheme during the year (2023: 5). The total amount payable to the highest paid director in respect of emoluments was £1,281,000 (2023: £1,005,000). Company pension contributions of £Nil (2023: £Nil) were made to a money purchase scheme on their behalf.

9. Interest receivable and similar income

	2024 £000	2023 £000
Imputed interest charge on transfer fees receivable	**2,153**	974
Other interest receivable	**-**	8
Bank interest receivable	**910**	572
	3,063	1,554

10. Interest payable and similar charges

	2024 £000	2023 £000
Imputed interest charge on transfer fees payable	**6,706**	6,609
Interest payable on transfer fees	**6,414**	452
Hire purchase interest payable	**49**	31
Other interest payable	**-**	49
	13,169	7,141

11. Taxation

	2024 £000	2023 £000
Current tax		
Adjustment in respect of previous periods	**-**	(120)
Total current tax charge/(credit)	**-**	(120)
Deferred tax		
Origination and reversal of timing differences	**9,975**	6,032
Adjustment in respect of previous periods	**423**	6
Total deferred tax charge	**10,398**	6,038
Total tax charge	**10,398**	5,918

11. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year is higher than (2023: higher than) the standard rate of corporation tax in the UK of 25.00% (2023: 20.50%). The differences are explained below:

	2024 £000	2023 £000
Profit/(loss) on ordinary activities before tax	**24,091**	(74,447)
Profit/(loss) on ordinary activities multiplied by the standard rate of corporation tax in the UK of 25.00% (2023: 20.50%)	**6,023**	(15,262)
Effects of:		
Fixed asset differences	**34**	191
Expenses not deductible for tax purposes	**862**	37
Income not taxable for tax purposes	**(23)**	(25)
Group relief claimed	**(4,350)**	-
Adjustments to tax charge in respect of prior periods – current tax	**-**	(120)
Adjustments to tax charge in respect of prior periods – deferred tax	**423**	6
Other permanent differences	**-**	-
Effect of rate change	**-**	(213)
Movement in deferred tax not recognised	**7,429**	21,304
Total tax charge for the year	**10,398**	5,918

At 30 June 2024, the Company had estimated taxable losses amounting to £129,288,000 (2023: £132,534,000) available for utilisation against future taxable profits. At 30 June 2024 the Company had an unrecognised deferred tax asset of £32,322,000 (2023: £24,455,000) in relation to these losses due to the uncertainty as to when these losses may reverse.

12. Intangible assets

	Player registrations £000
Cost	
At 1 July 2023	239,132
Additions	40,500
Disposals	(96,815)
At 30 June 2024	**182,817**
Amortisation	
At 1 July 2023	110,515
Charge for the year	51,142
On disposals	(74,832)
At 30 June 2024	**86,825**
Net book value	
At 30 June 2024	**95,992**
At 30 June 2023	128,617

13. Tangible fixed assets

	Stadium £000	Fixtures, fittings and vehicles £000	Assets in course of construction £000	Total £000
Cost or valuation				
At 1 July 2023	7,701	21,065	924	29,690
Additions	-	1,004	3,008	4,012
Disposals	-	(1,503)	-	(1,503)
Transfers	-	1,254	(1,254)	-
At 30 June 2024	**7,701**	**21,820**	**2,678**	**32,199**
Depreciation				
At 1 July 2023	550	11,073	798	12,421
Charge for the year	138	2,868	-	3,006
Disposals	-	(1,456)	-	(1,456)
At 30 June 2024	**688**	**12,485**	**798**	**13,971**
Net book value				
At 30 June 2024	**7,013**	**9,335**	**1,880**	**18,228**
At 30 June 2023	7,151	9,992	126	17,269

The net book value of tangible fixed assets includes an amount of £1,533,000 (2023: £195,000) in respect of assets held under finance leases and hire purchase contracts. The related depreciation charge on these assets for the year was £150,000 (2023: £83,000).

14. Fixed asset investments

Subsidiary undertakings

Subsidiary companies which are either directly or indirectly held by the Company are as follows:

Name of company	Country of incorporation	Class of shares	Holding	Nature of business
[1] St Mary's Training Ground Limited	UK	Ordinary	100 %	Trading
[1] Southampton Girls and Women's Football Club Limited	UK	Ordinary	100 %	Trading
[1] St Mary's Catering Limited	UK	Ordinary	100 %	Dormant
[1] St Mary's Stadium Limited	UK	Ordinary	100 %	Dormant

[1] The registered office of the above companies is St Mary's Stadium, Britannia Road, Southampton, SO14 5FP.

15. Stocks

	2024 £000	2023 £000
Goods for resale	**144**	322

The difference between purchase price or production cost of stocks and their replacement cost is not material.

16. Debtors

	2024 £000	2023 £000
Due within one year:		
Trade debtors	**2,976**	2,542
Amounts owed by group undertakings	**7,601**	10,505
Other debtors	**5,278**	2,817
Prepayments and accrued income	**4,283**	3,372
Corporation tax	**56**	80
Transfer fees receivable	**13,473**	2,472
Deferred tax asset (note 21)	**-**	729
	33,667	22,517
Due after more than one year:		
Transfer fees receivable	**3,632**	1,355
Deferred tax asset (note 21)	**1,009**	10,678
	4,641	12,033

17. Creditors: amounts falling due within one year

	2024 £000	2023 £000
Trade creditors	**3,945**	3,377
Amounts owed to group undertakings	**122,531**	154,829
Taxation and social security	**4,037**	6,250
Obligations under finance lease and hire purchase contracts	**337**	92
Transfer fees payable	**44,916**	52,321
Other creditors	**355**	1,412
Accruals and deferred income	**27,273**	11,156
	203,394	229,437

18. Creditors: amounts falling due after more than one year

	2024 £000	2023 £000
Obligations under finance lease and hire purchase contracts	**1,023**	93
Transfer fees payable	**23,348**	40,607
Accruals and deferred income	**2,610**	2,629
	26,981	43,329

Football Trust grants of £2,436,000 (2023: £2,529,000) are classified as accruals and deferred income within creditors falling due after more than one year, with £93,000 (2023: £93,000) falling due within one year, being the amortisation that will be credited in the next accounting period.

19. Hire purchase and finance leases

Minimum lease payments under hire purchase fall due as follows:

	2024 £000	2023 £000
Within 1 year	**337**	92
Between 2 to 5 years	**1,023**	93
	1,360	185

Obligations under finance leases and hire purchase contracts are secured upon the assets to which they relate.

20. Provisions for liabilities

	Contingent transfer Fees £000	Provision for other costs £000	Total £000
At 1 July 2023	-	3,319	**3,319**
Arising in the year	4,676	381	**5,057**
Utilised in the year	(1,259)	(3,319)	**(4,578)**
At 30 June 2024	**3,417**	**381**	**3,798**

The provision for other costs relates to the contractual wage obligations on employees that have since left the Club.

21. Deferred taxation

	Deferred tax £000
Deferred tax asset at 1 July 2023	11,407
Charged to Statement of Comprehensive Income	(10,398)
Deferred tax asset at 30 June 2024	**1,009**

The deferred tax asset is made up as follows:

	2024 £000	2023 £000
Unutilised losses	-	8,678
Short term timing differences	22	253
Gains rolled over into intangible assets	(1,344)	(414)
Decelerated capital allowances	2,331	2,890
	1,009	11,407

22. Share capital

	2024 £000	2023 £000
Allotted, called up and fully paid		
501,000 Ordinary shares of £1 each	501	501

23. Reserves

The Company's capital and reserves are as follows:

Share capital

Called up share capital represents the nominal value of the shares issued.

Capital contribution reserve

During a previous year, capital contributions arose from the receipt of loan waivers from the parent company and a shareholder of a parent company respectively. In addition, a further capital contribution was recognised as a consequence of the transfer of the trade and assets of St Mary's Catering Limited and St Mary's Stadium Limited from St Mary's Football Group Limited to the Company on 1 July 2019.

Retained losses

Retained losses represent cumulative profits or losses, net of any dividends paid and other adjustments.

24. Pensions

The Club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2023 where the total deficit on the on-going valuation basis was £20.6 million. The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme. The results of the 2023 valuation were rolled forward to 30 June 2024 on the same assumptions as detailed above, and the Club's notional share of the deficit was £270,000 (£215,000 as at 30 June 2023). As at 30 June 2024, the Club was paying total contributions of £11,000 per month (increasing by 5% p.a. on 1 September each year) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 31 October 2026.

As at 30 June 2024, based on an appropriate discount rate of 4.96% per annum (6.39% per annum as at 30 June 2023), the present value of the Club's outstanding contributions (i.e. their future liability) is £312,000 (£231,000 as at 30 June 2023). This amounts to £137,000 (2023: £131,000) due within one year and £175,000 (2023: £100,000) due after more than one year and is included within other payables.

Present Value of Defined Benefit Obligation

	2024	2023
	£000	£000
Present Value of Defined Benefit Obligation	**312**	231

25. Contingent liabilities

Excluding items already provided in the Statement of Financial Position, at 30 June 2024 the Company had a liability to pay up to £68,000,000 (2023: £61,800,000) to other clubs in respect of players under contract, dependent upon a number of factors but principally first team appearances.

At 30 June 2024 the Company had contingent sums receivable from other clubs in respect of players sold. Due to the uncertainty of receipt of these contingent assets it is not practicable to disclose the amount likely to be received.

26. Capital commitments

At 30 June 2024 the Company had capital commitments as follows:

	2024 £000	2023 £000
Contracted for but not provided in these financial statements	1,615	583

27. Commitments under operating leases

At 30 June 2024 the Company had future minimum lease payments under non-cancellable operating leases as follows:

	2024 £000	2023 £000
Not later than 1 year	73	121
Later than 1 year and not later than 5 years	14	79
Total	87	200

28. Related party transactions

Management charges of £108,000 (2023: £106,000) were issued during the year by MALI International AG to the Group and all transactions were conducted on an arm's length basis, on normal trading terms. The Group also incurred expenses on behalf of MALI International AG, in the ordinary course of business, at a cost of £14,000 (2023: £16,000) and expenses on behalf of Katharina Liebherr, a common shareholder, of £2,000 (2023: £1,000). The two parties are related by influence of the common shareholder. The amount owed by MALI International AG to the Group at the reporting date was £2,000 (2023: £Nil). These amounts all relate to trading balances.

Management charges of £850,000 (2023: £850,000) were issued during the year by Sport Republic Holding Limited to the Group and all transactions were conducted on an arm's length basis, on normal trading terms. Sport Republic Holding Ltd owns 100% of Sport Republic UK Ltd, which itself is the majority shareholder of St Mary's Football Group Ltd. During the period Sport Republic Holding Ltd also incurred expenses on behalf of the Club at a cost of £953,000 (2023: £443,000) and the Club incurred expenses on behalf of Sport Republic Holding Ltd in the ordinary course of business at a cost of £234,000 (2023: £941,000). The net amount owed by the Club to Sport Republic Holding Ltd at the reporting date was £276,000 (2023: £Nil). These amounts all relate to trading balances.

Additionally, during the year the Club incurred expenses on behalf of Dragan Solak (St Mary's Football Group Ltd's ultimate controlling party) of £133,000 (2023: £2,000). The net amount owed by Dragan Solak to the Club at the reporting date was £131,000 (2023: £1,000). These amounts all relate to trading balances, all recharged to the related party.

During the period St Mary's Football Group Ltd incurred expenses on behalf of Goztepe SK in the ordinary course of business at a cost of £1,000 (2023: £Nil). The amount owed by Goztepe SK to the Club at the reporting date was £1,000 (30 June 2023: £Nil). Goztepe SK also charged the Club a development fee during the year for a total amount of £343,000 (2023: £Nil). The amount owed by the Club to Goztepe SK at the reporting date was £Nil (2023: £Nil).

28. Related party transactions (continued)

During the period the Club incurred expenses on behalf of Valenciennes FC in the ordinary course of business at a cost of £16,000 (2023: £Nil). The amount owed by Valenciennes FC to the Club at the reporting date was £16,000 (2023: £Nil).

The company has taken the exemption available in Section 33.1A of FRS 102 not to disclose transactions with other wholly owned companies within the Group.

29. Ultimate parent company and parent undertaking of larger group

The smallest group in which the results of the Company are consolidated is that headed by St Mary's Football Group Limited, incorporated in Great Britain. The consolidated accounts of this company are available to the public and may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

The largest group in which the results of the Company are consolidated is that headed by Sport Republic Holding Ltd, which is incorporated in Great Britain. The consolidated accounts of this company are available to the public and may be obtained from Companies House, Crown Way, Cardiff, CF14 3UZ.

The directors consider the ultimate controlling party at the Statement of Financial Position date to be Mr D Solak.

30. Post Statement of Financial Position events

Since the Statement of Financial Position date, the Club has entered into sale and purchase agreements for players with net transactions amounting to £46,800,000 payable (2023: £111,000,000 receivable).

31. Annex G

These financial statements have been prepared in compliance with the Union of European Football Associations ("UEFA") "Annex G Accounting requirements for the preparation of financial statements".